

October 20th, 2025

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Research Statement

I am a macroeconomist with primary research interests in business cycles, monetary policy, and fiscal policy. My work centers on three broad questions concerning the role of microeconomic heterogeneity in shaping aggregate outcomes. First and foremost, how do deviations from rational expectations, disciplined by microeconomic evidence, affect macroeconomic dynamics? Second, how does regional heterogeneity influence the transmission of monetary and fiscal policy? Finally, I've also been interested in how heterogeneity in household consumption shapes aggregate CO2 emissions across countries.

Methodologically, my work combines microeconomic data with general equilibrium models. I place particular emphasis on identifying key causal parameters of interest in the data, which I then use to discipline heterogeneous-agent macroeconomic models. These models, tightly calibrated to microeconomic evidence, are used for policy evaluation and counterfactual analysis.

Policy relevance is an essential component of my research, and I am engaged in bringing the methods of my studies to implementation in real-life settings. I have collaborated with the French government agency France Strategy to evaluate the aggregate and distributional effects of the Covid stimulus policy using a Heterogeneous Agent New Keynesian (HANK) model.

1 Macroeconomic implications of deviations from rational expectations

The aim of my most recent research is to identify deviations from rational expectations by combining survey data with administrative data, and to assess their theoretical and quantitative implications for macroeconomic outcomes. I have applied this line of work to households, firms, and financial intermediaries, and I intend to continue developing this agenda in future work.

Aggregate fluctuations My primary focus lies in understanding how such deviations from rational expectations shape aggregate economic fluctuations.

In my Job Market Paper, "[The Sentiment Channel of Fiscal Policy](#)", [6], Marco Bellifemine, Jacopo Tozzo and I show that fiscal policy affects the economy not only through a direct aggregate demand effect but also by shaping firms' beliefs about their future sales. Using Bank of Italy survey data on firms' expectations linked to administrative records on public procurement in Italy, we find that firms exposed to government spending shocks become systematically overoptimistic: their expectations about future sales are above the realization of these sales. This optimism is pervasive, as firms also raise their expectations about export sales. To derive the policy implications of this behavior of expectations, we build a heterogeneous firms New Keynesian model in which firms' expectations overreact to public sales shocks. Specifically we assume that shocks to their sales sway a variable we call sentiment which biases their expectations about their future private and public sales. This has important implications for the aggregate behavior of the economy. In general equilibrium, a

positive shock to government spending lifts firms optimism by sufficiently much to induce a crowding-in of investment, which is in contrast to standard theories that predict crowding out. This doubles the government spending multiplier, leading to more empirically plausible values.

In an ongoing project, "[Crises without FIRE: banks' animal spirits and the financial accelerator](#)", [1], Marco Bellifemine and I use credit registry data covering over 60 million firm–bank relationships across Europe to study how deviations from rational expectations within the banking sector shape credit cycles. We exploit information on banks' internal forecasts of firm default probabilities to construct a novel measure of expectation shocks — changes in lenders' perceived probability of default. We find that pessimistic expectation shocks lead to sharp, persistent contractions in credit supply. We are currently working on understanding the origins of these shocks to expectations, whether they come from banks overreacting to shocks or whether they may be spontaneous. Ultimately, our ambition is to provide a theory of banks expectations that we'll embed in a financial accelerator model which we hope may provide a microfounded explanation for business cycle fluctuations.

Household finance and growth In past and ongoing work, I have also been interested in the implications of deviations from rational expectations for "steady state" dynamics, whether concerned with household wealth dynamics or balanced growth paths.

In [A distributional theory of households sentiment](#), [3], Marco Bellifemine, Seyed Hosseini and I use data from the Italian Survey of Household Income and Wealth to document that households' beliefs about their future income can be predicted by recent income news. In particular, we find that a positive income shock predicts over-optimistic beliefs about future income. We examine the theoretical implications of this behavioral bias on households' consumption-saving decisions by embedding diagnostic expectations in an otherwise standard heterogeneous agent incomplete market model. We show analytically that the distortions in households' behavior introduced by diagnostic expectations are more salient when agents are close to the borrowing limit, inducing a larger welfare cost of diagnosticity for the poor. In particular, diagnostic expectations generate a poverty trap by making it harder for households to escape the borrowing limit: a positive income shock leads to overoptimism about the future and hence over-consumption, making it harder for constrained households to accumulate assets. This can explain why people stay poor: it is significantly less likely for households to escape the borrowing limit under diagnostic expectations than under rationality. This has important implications for policy as it contrasts the view that some households stay poor because they discount the future more.

In ongoing work, "[Firms' Expectations and Directed Innovations: Implications for Growth](#)", [2], Marco Bellifemine and I study how differences in managers' ability to predict the future shape innovation and long-run growth. We embed this idea in a Klette–Kortum model with directed innovation, where managers form beliefs about the likelihood of project success and allocate R&D accordingly. Firms led by managers whose beliefs are well aligned with fundamental probabilities of success grow faster and contribute more to aggregate productivity, while those with systematically biased expectations misallocate resources and fall behind. The model shows how heterogeneity in managerial foresight can be a fundamental source of cross-firm and cross-country growth differences.

2 Regional heterogeneity in a monetary Union

In recent years, the monetary policy literature has been very focused on the redistributive effects of monetary policy across the household income or wealth dimension, while the spatial dimension has received comparatively much less attention. I contribute to this literature with two papers.

In [The Regional Keynesian Cross](#), ([4], Revise & Resubmit, Review of Economic Studies) joint with A. Couturier and R. Jamilov, we study the transmission of monetary policy across space. First, we document large heterogeneity in the employment response to monetary shocks across US counties. We find that the share of employment in non-tradable sectors and the average marginal propensity to consume are two significant factors explaining this regional heterogeneity. We build a heterogeneous agent New Keynesian model of a monetary union and show that the joint distribution of regional MPCs and trade openness across space can matter for the nation-wide response to monetary shocks. The main finding is that, in the U.S., not much is lost for studying the aggregate effects of monetary policy by studying an economy that has the average MPC matrix and average openness across space, but in Italy there is substantial loss from doing so because the cross-region covariance between MPCs and openness is very positive and large.

In [Currency Unions with Heterogeneous Fiscal Rules](#), ([5], Journal of International Economics), joint with Marco Bellifemine and Rustam Jamilov, we extend the framework we developed in [4] to the context of the Eurozone. The Eurozone is a unique context where fiscal policy is conducted at the national level while monetary policy is conducted at the supranational level. In particular, different levels of debt across European countries lead to a different fiscal footprint of monetary policy. In particular, countries with high public debt will be adversely exposed to contractionary monetary policy shocks. This leads to a trade-off for the Central Bank between stabilizing euro-wide inflation and synchronizing the national business cycles.

3 Heterogeneity in consumption patterns and aggregate CO₂ emissions

In [Ecological consumption atlas](#), ([7]), Marion Dumas, Lucie Gadenne, Xavier Jaravel and I examine how household consumption patterns drive global CO₂ emissions by combining detailed expenditure surveys from 23 countries with environmentally extended input–output data from Exiobase. The resulting dataset provides a harmonized measure of household carbon footprints across income levels and consumption categories. We estimate worldwide CO₂ Engel curves and show that most variation in emissions stems from demand rather than production technologies. Utilities, food, and transport account for over 80% of emissions, with rising incomes shifting spending toward these carbon-intensive goods. Yet within-category substitutions—especially cleaner energy use—moderate the overall emissions elasticity. Using French retail scanner and product-level emissions data, we also test whether within-category quality differences affect these estimates and find minimal bias.

References

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- [4] Marco Bellifemine, Adrien Couturier, and Rustam Jamilov. *The Regional Keynesian Cross*. Discussion Papers 2311. Centre for Macroeconomics (CFM), Mar. 2023.
- [5] Marco Bellifemine, Adrien Couturier, and Rustam Jamilov. "Monetary unions with heterogeneous fiscal space". In: *Journal of International Economics* 156.C (None 2025), None.
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- [7] Adrien Couturier et al. *The Ecological Consumption Atlas*. Tech. rep. 2025.